In fact, even today coins and banknotes are a rare form of money. The sum total of money in the world is about $60 trillion, yet the sum total of coins and banknotes is less than $6 trillion.[7] More than 90 per cent of all money – more than $50 trillion appearing in our accounts – exists only on computer servers. Accordingly, most business transactions are executed by moving electronic data from one computer file to another, without any exchange of physical cash. Only a criminal buys a house, for example, by handing over a suitcase full of banknotes. As long as people are willing to trade goods and services in exchange for electronic data, it's even better than shiny coins and crisp banknotes – lighter, less bulky, and easier to keep track of.

For complex commercial systems to function, some kind of money is indispensable. A shoemaker in a money economy needs to know only the prices charged for various kinds of shoes – there is no need to memorise the exchange rates between shoes and apples or goats. Money also frees apple experts from the need to search out apple-craving shoemakers, because everyone always wants money. This is perhaps its most basic quality. Everyone always wants money because everyone else also always wants money, which means you can exchange money for whatever you want or need. The shoemaker will always be happy to take your money, because no matter what he really wants – apples, goats or a divorce – he can get it in exchange for money.

Money is thus a universal medium of exchange that enables people to convert almost everything into almost anything else. Brawn gets converted to brain when a discharged soldier finances his college tuition with his military benefits. Land gets converted into loyalty when a baron sells property to support his retainers. Health is converted to justice when a physician uses her fees to hire a lawyer – or bribe a judge. It is even possible to convert sex into salvation, as fifteenth-century prostitutes did when they slept with men for money, which they in turn used to buy indulgences from the Catholic Church.

Ideal types of money enable people not merely to turn one thing into another, but to store wealth as well. Many valuables cannot be stored – such as time or beauty. Some things can be stored only for a short time, such as strawberries. Other things are more durable, but take up a lot of space and require expensive facilities and care. Grain, for example, can be stored for years, but to do so you need to build huge storehouses and guard against